APPLY ENTREPRENEURIAL SKILLS
WRITTEN ASSESSMENT CAT 3
TIME: 2 HOURS

92%

BRIAN MAINA
ICT

INSTRUCTIONS TO CANDIDATES

1. The paper consists of TWO sections: A and B.
2. Answer ALL questions in Section A.
3. Answer Question ELEVEN (11) and any other TWO (2) questions in Section B.
4. Marks for each question are indicated in brackets.
5. Candidates are provided with a separate answer booklet.
6. DO NOT write on this question paper.

SECTION A (40 MARKS)

Answer ALL questions in this section

1. Identify FOUR challenges that most entrepreneurs face when starting a new business enterprise. (4 Marks)
2. Integrating Information and Communication Technology (ICT) into a business can be challenging, especially for new start-ups. State FOUR challenges of adopting ICT in business enterprises. (4 Marks)
3. Maggie is planning to set prices for items in her business. List FOUR factors she should consider when setting prices. (4 Marks)
4. Identify FOUR entrepreneurial traits that contribute to success in business. (4 Marks)
5. A business passes through five main stages in its life cycle. State FOUR activities that take place during the growth stage. (4 Marks)
6. Define the following terms as used in insurance services: (4 Marks)
   a) Benevolent party
   b) Policy period
7. For a business to operate successfully, an entrepreneur must undertake various responsibilities. State FOUR roles of an entrepreneur in business. (4 Marks)
8. One key component of an effective marketing strategy is the marketing mix. Mention FOUR components of the marketing mix. (4 Marks)
9. List FOUR key barriers that hinder entrepreneurial development. (4 Marks)
10. Sources of business ideas provide entrepreneurs with insights and opportunities for developing viable business concepts. State FOUR sources of business ideas. (4 Marks)

SECTION B (60 MARKS)

Answer Question 11 and ANY OTHER TWO questions in this section

11. The Kenyan government encourages school leavers to engage in entrepreneurial activities. The Nyota Fund is one initiative intended to train young people in entrepreneurship and provide funding for start-ups.

a) Explain FIVE internal sources of finance that young people can use to fund their businesses. (10 Marks)

b) Explain FIVE contributions of entrepreneurship to a country's economy. (10 Marks)

12. Jemoo started a timber business in a nearby town. Within six months, the business was generating significant profits. However, Jemoo is unsure where to save his money and lacks skills in debt management.

a) Discuss FIVE factors Jemoo should consider when choosing a suitable institution for saving money. (10 Marks)

b) Describe FIVE ways effective debt management contributes to long-term financial stability. (10 Marks)

13. Understanding the legal aspects of business is essential for entrepreneurs and business owners when making business decisions.

a) Explain FIVE forms of business ownership. (10 Marks)

b) Discuss FIVE employment laws in Kenya. (10 Marks)

14. During a business training seminar for the XYZ Youth Group, participants were told that the success of a business largely depends on thorough and effective business planning.

a) Explain FIVE reasons why the executive summary is important in a business plan. (10 Marks)

b) Explain FIVE reasons why an operational and production plan is important in business planning. (10 Marks)

(1) Inadequate Capital
- Competition
- Lack of BLS Skills.
Uncertain Market demand.

(2) Lack of ICT Skills
High implementation Cost.
Cybersecurity.
Technical failures.

(3) Cost of Production
Competitors Prices.
Customer demand
Profit objectives

4] Risk taking ability.
Creativity and innovation.
Self Confidence.
persistence and determination.

(5) Expanding Operations
Recruiting Employees
increasing Marketing.
Improving Products and Services.

6] a) Benovolent Party.
is a Person or Organization that Provides assistance or Benefits to another without expecting anything in Return.

b) Policy Period.
=> Specified Period during which an insurance policy

(7) Risk bearer ✓
Decision - Maker ✓ 4
Organizer ✓
Innovator ✓

8] Product ✓
Price ✓
Place ✓ 4
Promotion ✓

9] Inadequate access to Capital ✓
- Unfavourable Government Regulation.
- Poor infrastructure. ✓ 4
- Lack of Entrepreneurial Knowledge & Skills. ✓

10] Personal Experience and Hobbies. ✓
Market Research. ✓ 4
Existing Bls ✓
- Invention & new technology.

Sections.

1] Personal Savings: ⇒ an Entrepreneur can use money saved from allowance, Employment or previus activities to start a Bls. ✓ 2

2] Retained Profits. ⇒ Money - Earned & kept in the Bls instead of being withdrawn. Can be Re-invested ✓ 2

3] Sale of Personal assets ⇒ an Entrepreneur can sell personal possessions such as electronics or furniture. ✓ 2

4] Sale of Bls Assets: ⇒ a Bls can sell assets it no longer need- e.g old Equipment ✓ 2

24

6 Reducing Personal Expenditure → Can reduce unnecessary Spending and redirect the money saved towards Starting or Expanding the Bis.

5 ① Employment Creation. → Establis Bis's that Employ People thereby reducing unemployment.

② Wealth Creation → Entrepreneurs Earn Profits and Build assets improving their living Standards Contributing to national wealth.

③ Govt Revenue. → Bis Pay taxes, licences, and other Statutory Charges that help the govt finance Public Services.

④ Innovation & technological dvp → They introduce new Products, Services & methods that improve Productivity.

⑤ Improvement of living Standards. → Bis Provide goods & services that satisfy people's needs & make their live Easier

12 ① Safety of deposits → He should choose a reputable institution that protect Customers' money against loss and fraud.

② interest rates → He should Compare the interest offered on Saving accounts to identify an institution that Provides a reasonable return.

③ Accessibility of funds. → He should Consider how easily he can withdraw his Money when he needs it for Bis Emergencies.

④ Charges & fees → Should Compare the fees, withdrawal Charges and transaction cost.

(e) Convinience and accessibility => He should consider the availability of nearby branches, ATMs, Mobile banking etc.

(b) (i) Timely Repayment of loans => Paying debts on time prevent penalties.

(ii) Reducing interest Cost => Paying debts efficiently especially expensive loans.

(iii) Improving Cash flow => Planning debt repayment helps ensure enough money return.

(iv) Avoiding Excessive borrowing => Borrowing only what one can afford to repay prevents over-indebtedness & financial distress.

(v) Improving access to future Credit => Builds lenders confidence and may make it easier to obtain financing in the future.

12 (a) (i) Sole proprietorship => Owned by one person.

(ii) Partnership => a bis owned by two or more people.

(iii) Private limited Company => Owned by shareholders. with a seperate legal identity.

(iv) Public limited Company => a Company that can offer shares to the public.

(v) Cooperative society => Owned and managed by members who voluntarily join to meet Economic or social need.

(b) i) Employment Act, 2007 → Regulates Employment Relationships, including Contracts, wages etc ✓ 2.

ii) Labour institution Act, 2007 → Regulates and Establishes, Labours institution and ✓ 2 support the administration of labour

iii) Labour Relations Act, 2007, → Regulates trade unions, Employers' ✓ 1

iv) (c) Occupational Safety & Health Act, 2007 → Requires Employers to maintain Safe ✓ & healthy workplaces Measures to prevent diseases ✓ 2 and accidents

(c) Work injury Benefits Act, 2007 → Provides a framework for Compensation of ✓ Employees who Suffer work Related injuries ✓ 2 or diseases; Subject to the Act.

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a)

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